

Notes: Peress (JF, 2014)

The Media and the Diffusion of Information in Financial Markets: Evidence from Newspaper Strikes

Contents

1	Big picture	3
2	Data and measurement (key objects)	4
2.1	National newspaper strike data	4
2.2	Stock-market data and key variables	4
2.3	Markets, stocks, and investor heterogeneity	5
2.4	Additional evidence on media dependence	5
2.5	Unobservables and event timing	6
3	Models and empirical specifications (all equations + interpretation)	6
3.1	Key stock-market variables	6
3.2	Event-study design	7
3.3	Cross-sectional size analysis	7
3.4	Return-predictability and autocorrelation regressions	7
3.5	Local trading-volume specification for U.S. city strikes	8
4	Identification and instruments (what makes the estimates credible)	8
4.1	What fails in a standard media–market correlation	8
4.2	What identifies the new approach	9
4.3	Why the mechanism points to information diffusion rather than noise	9
4.4	Empirical credibility and robustness	9
4.5	Relation to the literature	10
5	Tables	10
5.1	Table 1: Sample of national newspaper strikes	10
5.2	Table 2: Average impact of newspaper strikes	11

5.3	Table 3: Cross-sectional heterogeneity across stock-size groups	11
5.4	Table 4: Impact on return autocorrelations	12
5.5	Table 5: Days surrounding newspaper strikes	12
5.6	Table 6: Robustness to country exclusion and strike definitions	12
5.7	Table 7: Falsification test on neighboring countries	13
5.8	Table 8: Out-of-sample evidence from the European protest and coercion dataset . .	13
5.9	Table 9: Local U.S. newspaper strikes	14
5.10	Table 10: Main variable definitions	14
6	Short summary	14
7	Conclusion	15
7.1	Core conclusion (what the paper establishes)	15
7.2	Economic intuition	15
7.3	Takeaway	15

1 Big picture

- **Question.** Does the mass media causally affect stock trading and price formation, or is the observed correlation between media activity and market activity just the result of omitted news shocks or reverse causality?
- **Setting.** The paper studies **national newspaper strikes** as exogenous media blackouts. It collects **52 eligible national strikes** between **1989 and 2010**, concentrated in **France, Greece, Italy, and Norway**.
- **Core challenge.** Media coverage is endogenous. Newspapers write more when there is more news, and they may also report on market movements themselves. So ordinary media-market correlations cannot be given a causal interpretation.
- **Main identification idea.** Use newspaper strikes that
 1. affect the press on a national scale,
 2. are specific to the media sector rather than general economy-wide strikes, and
 3. occur on stock-market business days.

These strikes sharply reduce access to newspapers while being driven by labor disputes and planned policy changes rather than same-day stock-market conditions.

- **Why this matters.** The paper speaks to a central question in finance: how public information diffuses through the investor population, and whether the media improves the efficiency with which that information is incorporated into stock prices.
- **Main empirical question.** When newspapers fail to appear, what happens to
 - trading volume,
 - intraday volatility,
 - the cross-sectional dispersion of returns, and
 - the speed with which news enters prices?
- **Main empirical results.**
 - **Trading volume falls by about 12%** on strike days.
 - **Intraday volatility** (measured by the price range) falls by about **7%**.
 - **Return dispersion** falls by about **7.5%**.
 - **Aggregate returns** and the **absolute value of aggregate returns** are essentially unchanged.
 - The effects are strongest for **small stocks**, with turnover falling by about **15%–18%** in the bottom three size quintiles.
 - Return autocorrelation patterns support the **news-diffusion** interpretation rather than the **noise-generation** interpretation.
 - In out-of-sample U.S. evidence, **local retail trading** around city newspaper strikes falls sharply.

- **Mechanism.** The paper argues that the media primarily affects **retail and local investors**, who rely on newspapers for access to firm-specific and market-wide information, while institutions and foreign investors continue to obtain news from professional services and nonlocal sources.
- **Economic takeaway.** Newspapers matter less for the **level** of aggregate market returns than for the **diffusion of information across investors**. When newspapers disappear, fewer investors trade, firm-specific shocks are incorporated more slowly, and stocks move more synchronously.

2 Data and measurement (key objects)

2.1 National newspaper strike data

- **Source.** The strike sample is hand-collected from **Factiva**, which aggregates news sources across countries.
- **Search criteria.** The paper keeps strikes that
 - prevent readers from receiving newspapers because papers are not written, printed, or distributed;
 - affect newspapers at a **national** scale;
 - are **media-sector-specific**;
 - occur on **business days**.
- **Sample.** The final sample contains **52 national newspaper strikes**, totaling **88 strike days**, with an average duration of about **1.7 business days**.
- **Countries.** The events are concentrated in **France, Greece, Italy, and Norway**.
- **Who strikes?** The disruptions are caused by
 - journalists,
 - print workers,
 - distribution workers.
- **Why plausibly exogenous?** These strikes are reactions to planned government policies and labor disputes over pay, employment, pensions, tax breaks, subsidies, technology, or press freedom, rather than reactions to same-day stock-market movements.
- **Internet cutoff.** The baseline sample excludes print and distribution strikes after **1996**, because online editions begin to provide a substitute source of news.

2.2 Stock-market data and key variables

- **Source.** Daily stock-market data come from **Compustat Global**.
- **Observed objects.** For each firm and day, the paper observes
 - stock returns,
 - prices,

- intraday highs and lows,
- shares traded,
- shares outstanding.
- **Main country-day variables.**
 - **Turnover:** log average share turnover across firms.
 - **Return:** average daily market return.
 - **Absolute return:** log of one plus the absolute value of the residual market return.
 - **Range:** average log high/low price ratio.
 - **Dispersion:** log cross-sectional standard deviation of excess stock returns.
- **Weighting.** The paper studies both **equally weighted** and **value-weighted** versions of the aggregate variables.
- **Data treatment.**
 - Turnover, returns, and range are winsorized at the **1%** level.
 - Month and day-of-the-week effects are purged before the event study.

2.3 Markets, stocks, and investor heterogeneity

- **Market unit.** The baseline analysis is at the **country-day** level.
- **Cross-sectional heterogeneity.** On each day and in each country, stocks are sorted into **five size quintiles** based on prior-year market capitalization.
- **Investor-composition hypothesis.**
 - **Small stocks** are disproportionately held by **individual investors**.
 - **Large stocks** are disproportionately held by **institutions** and **foreign investors**.
- **Implication.** If newspapers mostly matter for retail investors, the strike effect should be much stronger among small stocks than among large stocks.

2.4 Additional evidence on media dependence

- **Coverage of small stocks.** The paper manually checks Italian bottom-quintile firms and finds that **96%** of them appear in at least one newspaper article over 2009–2010. For covered firms, the mean number of articles is **56** and the median is **24**.
- **Interpretation.** Small stocks are not absent from the press. They may appear less often than large stocks, but they still receive meaningful local and business-paper coverage.
- **Local U.S. trading data.** For out-of-sample evidence, the paper uses household trading data from a large U.S. discount broker covering about **78,000 households** from **January 1991 to December 1996**.

2.5 Unobservables and event timing

- **Main identification threats.**
 - omitted fundamental-news shocks,
 - reverse causality from markets to media coverage.
- **Event window.** The baseline event study uses a **100-day window centered on the strike day**.
- **Strike-day definition.** The event is the **first business day** on which newspapers actually fail to appear.
- **Confounding neighboring media strikes.** About **half** of strikes are preceded and about **one-third** are followed by another media strike. The paper therefore separately studies surrounding days with and without confounding media disruptions.

3 Models and empirical specifications (all equations + interpretation)

General note. This paper is not a structural equilibrium model. It is mainly an **event-study paper** combined with **return-predictability regressions**. The key empirical objects are therefore the construction of the stock-market variables, the event-study comparisons, and the autocorrelation specifications.

3.1 Key stock-market variables

For country k on day t , define average turnover as

$$\text{Turnover}_{k,t} = \log \left(\frac{1}{N_{k,t}} \sum_{i \in k} \frac{\text{SharesTraded}_{i,t}}{\text{SharesOutstanding}_{i,t}} \right).$$

Define the average intraday range as

$$\text{Range}_{k,t} = \frac{1}{N_{k,t}} \sum_{i \in k} \log \left(\frac{H_{i,t}}{L_{i,t}} \right),$$

where $H_{i,t}$ and $L_{i,t}$ are the intraday high and low prices.

Define cross-sectional return dispersion as

$$\text{Dispersion}_{k,t} = \log \left(\text{sd}_{i \in k} (r_{i,t} - r_{m,k,t}) \right),$$

where $r_{m,k,t}$ is the average market return in country k on day t .

Define the absolute return measure as

$$\text{AbsReturn}_{k,t} = \log(1 + |\hat{r}_{m,k,t}|),$$

where $\hat{r}_{m,k,t}$ is the market return after removing month and day-of-the-week effects.

Interpretation.

- **Turnover** measures how much investors trade.
- **Range** measures intraday volatility.
- **Dispersion** measures how differently individual stocks move from one another.
- **AbsReturn** measures close-to-close aggregate volatility.

The key empirical fact is that strike days reduce turnover, range, and dispersion, but not aggregate returns.

3.2 Event-study design

For each strike event e , let $X_{e,0}$ denote the value of a stock-market variable on the strike day, and let $\bar{X}_e$ denote its average over the surrounding estimation window. The paper studies the strike effect through the abnormal difference

$$\Delta X_e = X_{e,0} - \bar{X}_e,$$

using a **100-day centered event window**.

The paper tests these abnormal effects using

- the **Patell (1976)** parametric test,
- the **Corrado (1989)** rank test.

Interpretation. Rather than estimating a structural price-discovery model, the paper compares strike days to nearby nonstrike days and asks whether trading activity and return volatility systematically change when newspapers disappear.

3.3 Cross-sectional size analysis

Let $q \in \{1, \dots, 5\}$ denote stock-size quintiles, from smallest to largest. For each quintile, the paper recomputes

$$\text{Turnover}_{q,k,t}, \quad \text{AbsReturn}_{q,k,t}, \quad \text{Range}_{q,k,t}, \quad \text{Dispersion}_{q,k,t},$$

and runs the same event study as in the aggregate market.

Interpretation. This is the paper's key heterogeneity test. If newspaper strikes mostly affect retail investors, the effect should be strongest for small stocks. That is exactly what the paper finds for turnover and return dispersion.

3.4 Return-predictability and autocorrelation regressions

To distinguish **news diffusion** from **noise generation**, the paper studies how strike days change the predictive power of lagged returns for small stocks.

A contemporaneous specification is

$$R_{k,t}^S = \alpha + \beta R_{k,t-1}^S + \gamma (R_{k,t-1}^S \times \text{Strike}_{k,t}) + \delta \text{Strike}_{k,t} + \text{controls} + \varepsilon_{k,t},$$

where $R_{k,t}^S$ is the average return on small stocks in country k on day t .

A next-day specification is

$$\begin{aligned} R_{k,t+1}^S = & \alpha + \beta_1 R_{k,t-1}^S + \beta_2 R_{k,t}^S \\ & + \gamma_1 (R_{k,t-1}^S \times \text{Strike}_{k,t}) + \gamma_2 (R_{k,t}^S \times \text{Strike}_{k,t}) \\ & + \delta \text{Strike}_{k,t} + \text{controls} + \varepsilon_{k,t+1}. \end{aligned}$$

The regressions include country, year, month, and day-of-the-week controls, and standard errors are clustered by date.

Interpretation.

- If newspapers help diffuse **news**, then strike days should weaken the link between yesterday's returns and today's returns, but strengthen the link between yesterday's returns and tomorrow's returns because the market "misses a beat" and catches up later.
- If newspapers mainly create **noise**, then strike days should weaken reversals but not create this specific lag structure.

The data support the **news-diffusion** view.

3.5 Local trading-volume specification for U.S. city strikes

For local newspaper strikes in U.S. cities, the paper studies abnormal local trading volume:

$$AVol_{k,t} = \log \left(\frac{Vol_{\text{Strike},k,t}^{\$}}{Vol_{\text{NoStrike},k,t}^{\$}} \right),$$

where $Vol_{\text{Strike},k,t}^{\$}$ is total dollar trading volume by investors located near the striking city and $Vol_{\text{NoStrike},k,t}^{\$}$ is total dollar trading volume by investors outside the striking city.

Interpretation. This isolates local retail-trading responses from market-wide shocks. If city newspaper strikes matter for local investors, local abnormal trading volume should fall sharply. It does.

4 Identification and instruments (what makes the estimates credible)

4.1 What fails in a standard media–market correlation

- **Omitted-variable bias.** Important news can simultaneously move markets and generate media coverage.
- **Reverse causality.** Newspapers may cover unusual market developments because the market moved.

So a simple correlation between media intensity and market activity cannot identify the media's causal effect.

4.2 What identifies the new approach

The identifying variation comes from **newspaper strikes** that are:

- national,
- sector-specific,
- timed by labor disputes and policy changes,
- observed on stock-market business days.

These strikes sharply reduce newspaper supply while remaining plausibly unrelated to same-day stock-market fundamentals.

Key intuition. A strike acts like an exogenous shock to the cost of receiving information from newspapers. This lets the paper study how markets behave when one information-transmission channel is temporarily switched off.

4.3 Why the mechanism points to information diffusion rather than noise

The paper combines several pieces of evidence:

1. **Turnover falls** strongly.
2. **Range and dispersion fall**, but aggregate returns do not.
3. The effects are concentrated in **small stocks**.
4. **Local retail trades** fall strongly around U.S. city strikes.
5. **Return autocorrelations** shift in the pattern predicted by delayed news incorporation.

Taken together, these results are hard to reconcile with a pure sentiment or pure noise story.

4.4 Empirical credibility and robustness

- **Days before and after the strike.** The paper shows that apparent pre-strike effects are driven by other media strikes happening around the event, and that the main effect is concentrated on the strike day.
- **Country leave-one-out.** The findings survive when dropping any one strike country.
- **Internet substitution.** The results weaken when later print/distribution strikes are added back after online editions become available, which is exactly what one should expect if the mechanism runs through media access.
- **All strike days.** Using all strike days rather than only first strike days gives qualitatively similar but weaker effects.
- **Neighbor-country placebo.** No significant effect appears in neighboring nonstriking countries.
- **Out-of-sample confirmation.** Similar results appear in a separate European protest dataset and in local U.S. retail-trading data.

4.5 Relation to the literature

- **Media and finance.** The paper contributes to the literature showing that media activity matters for trading and prices.
- **Investor attention and information diffusion.** The results fit theories in which information spreads gradually across investors or some investors are attention constrained.
- **Return predictability.** The paper links return autocorrelations to an explicit information channel: newspapers.

5 Tables

5.1 Table 1: Sample of national newspaper strikes

Table I
Sample of National Newspaper Strikes

This table lists national newspaper strikes that occur on a business day and are specific to the publishing and media sector. Duration is measured in trading days.

Country	Date	Duration	Who Strikes?
France	March 8, 1989	2	Print and distribution workers
	June 28, 1989	1	Print and distribution workers
	December 15, 1989	6	Print and distribution workers
	February 20, 1992	1	Journalists
	April 29, 1993	1	Print and distribution workers
	October 14, 1993	1	Print and distribution workers
	November 8, 1995	1	Print and distribution workers
	October 16, 1996	1	Journalists
	November 15, 1996	1	Journalists
	April 10, 1997	1	Print and distribution workers
	July 8, 1997	1	Print and distribution workers
	April 7, 1999	1	Print and distribution workers
	June 13, 2001	1	Print and distribution workers
	September 8, 2005	1	Print and distribution workers
	June 12, 2008	1	Print and distribution workers
	September 16, 2008	1	Print and distribution workers
	October 30, 2008	1	Print and distribution workers
	October 28, 2009	1	Print and distribution workers
	April 21, 2010	2	Print and distribution workers
Greece	April 10, 2001	1	Journalists
	February 7, 2002	2	Journalists
	March 7, 2002	1	Journalists
	March 28, 2002	2	Journalists
	July 14, 2004	4	Journalists
	November 25, 2005	1	Journalists
	May 9, 2007	1	Journalists
	November 28, 2007	1	Journalists
	October 2, 2008	1	Journalists
	June 24, 2009	1	Journalists
	June 4, 2010	1	Journalists
Italy	January 30, 1991	1	Journalists
	May 28, 1991	3	Journalists
	July 29, 1991	2	Journalists
	September 30, 1993	1	Journalists
	March 16, 1994	2	Journalists
	April 11, 1995	1	Journalists
	April 28, 1995	1	Journalists
	October 20, 1995	3	Journalists
	December 10, 1999	1	Journalists
	November 30, 2000	2	Journalists
	December 12, 2000	1	Journalists
	January 22, 2002	1	Print and distribution workers
	June 11, 2003	1	Journalists
	October 28, 2003	1	Journalists
	November 9, 2005	2	Journalists

(Continued)

Table I—Continued

Country	Date	Duration	Who Strikes?
Norway	October 6, 2006	2	Journalists
	November 16, 2006	1	Journalists
	December 22, 2006	3	Journalists
	July 9, 2010	1	Journalists
Norway	June 11, 1990	2	Journalists
	May 30, 2002	7	Journalists
	May 13, 2004	7	Journalists

- This table documents the **52 eligible strikes**, their **dates**, **durations**, **countries**, and whether the strikers are journalists or print/distribution workers.
- It shows clearly that the identifying events are concentrated in four countries and span both short and multi-day disruptions.
- It also makes clear why the author later worries about the rise of online newspaper substitutes for print/distribution strikes after 1996.

5.2 Table 2: Average impact of newspaper strikes

Table II
Average Impact of Newspaper Strikes

Average impact of newspaper strikes

This table presents the impact of national newspaper strikes on the stock market. Striken carried out by print and distribution workers after 1999 are excluded because of the availability of online editions. The event study is performed using a 100-day estimation window centered on the strike day. Statistics for the whole sample of events for both equally weighted and value-weighted averages are displayed in Panel A. The tables show β , Turnover, Absolute Return, Range, Return, and Dispersion their means and median difference on newspaper strike days relative to the other day in the estimation window, as well as the statistics and p -values for the Patel (1976) test and the Cornudo (1988) rank test. ** and *** indicate significance at the 5% and 1% level, respectively. ns indicates non-significance. The last column shows the average of the difference in the event, dispersion, range, and turnover on the newspaper strike day relative to the average over the estimation window ("raw difference"), and this difference divided by the standard deviation of the variable over the estimation window ("standardized difference").

	David & Overall				
	Equally Weighted				
	Turnover	Alt. Return	Range	Return	Dispersion
Mean	0.123	0.041	-0.070	0.021	-0.075
Point Stat	0.129	-0.009	-0.074	-0.019	-0.000
p-value	0.000	0.432	0.000	0.000	0.000
Mean Std	0.001	0.004	0.004	0.001	0.003
p-value	0.002	0.311	0.000	0.000	0.000
St	41	30	41	41	41
Value Weighted					
Mean	-0.014	0.048	-0.002	-0.076	-0.001
Point Stat	-0.003	0.058	-0.000	0.022	-0.021
p-value	0.562	0.000	0.999	0.107	0.048
Mean Std	0.047	0.056	0.105	0.047	0.268
p-value	0.000	0.000	0.000	0.000	0.000
Mean Std	0.761	0.457	0.115	0.480	0.209
St	22	22	22	22	22

(Continued)

Table II—Continued

Panel B: By Event													
Country		Distances			Air Distances			Ranges			Distances		
		Date	New	Speed Difference	Date	New	Speed Difference	Date	New	Speed Difference	Date	New	Speed Difference
France	20030101	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030102	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030103	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030104	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030105	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030106	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030107	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030108	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030109	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
	20030110	0.0	0.0	-0.000	-0.040	0.4	0.0	-0.018	0.2	0.0	-0.018	0.2	0.0
Greece	20030101	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030102	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030103	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030104	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030105	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030106	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030107	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030108	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030109	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003
	20030110	0.311	0.022	-0.289	-0.289	0.003	0.003	0.000	0.000	0.311	0.022	-0.289	0.003

(Continued)

Table II—Continued

Country	Date	Turnover		Alt. Rates		Range		Dispersion	
		Raw	Wind	Raw	Wind	Raw	Wind	Raw	Wind
		Difference	Difference	Difference	Difference	Difference	Difference	Difference	Difference
Czechy	1990:01:01	a.a.	a.a.	0.564	1.052	a.a.	a.a.	-0.640	-0.231
	1990:01:02	a.a.	a.a.	0.564	1.052	a.a.	a.a.	-0.640	-0.231
	1990:01:03	a.a.	a.a.	0.564	1.052	a.a.	a.a.	-0.640	-0.231
	1990:01:04	-0.056	-1.064	-0.068	-1.134	-1.138	-1.248	-0.736	-0.714
	1990:01:05	-0.125	-0.015	0.407	1.508	0.011	0.497	-0.121	-0.048
	1990:01:06	-0.125	-0.015	0.407	1.508	0.011	0.497	-0.121	-0.048
	1990:01:07	-0.125	-0.015	0.407	1.508	0.011	0.497	-0.121	-0.048
	1990:01:08	-0.125	-0.015	0.407	1.508	0.011	0.497	-0.121	-0.048
	1990:01:09	-0.125	-0.015	0.407	1.508	0.011	0.497	-0.121	-0.048
	1990:01:10	-0.125	-0.015	0.407	1.508	0.011	0.497	-0.121	-0.048
Norwegia	1990:01:01	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:02	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:03	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:04	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:05	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:06	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:07	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:08	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:09	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720
	1990:01:10	-0.418	-1.471	0.395	1.392	-0.127	-0.085	-0.809	-1.720

(Continued)

- **Turnover:** equally weighted turnover falls by **12.3%** on strike days.
- **Range:** equally weighted price range falls by about **7.0%**.
- **Dispersion:** equally weighted return dispersion falls by about **7.5%**.
- **Return and absolute return:** no meaningful aggregate effect.
- **Value-weighted effects:** much weaker, which immediately suggests that the strike effect is concentrated among smaller stocks.

Read: This is the core aggregate result of the paper. Trading and second moments react; first moments do not.

5.3 Table 3: Cross-sectional heterogeneity across stock-size groups

Table III
Impact of Newspaper Strikes across Stock Size Groups[illegible]

	Turnover			
	Quarter 1 2007	Quarter 2 2007	Quarter 3 2007	Quarter 4 2007
Mean	-0.152	-0.178	-0.137	-0.087
Median	-0.202	-0.139	-0.224	-0.033
First Half	0.100	0.700	0.450	0.700
Second Half	0.010	0.000	0.010	0.737
p-value	0.000	0.000	0.000	0.000
Standard Error	0.000	0.000	0.000	0.000
Events	30	30	30	30
	Ins. Herds			
	Quarter 1 2007	Quarter 2 2007	Quarter 3 2007	Quarter 4 2007
Mean	-0.078	0.009	0.003	0.057
Median	-0.088	0.008	0.000	0.011
First Half	-0.142	0.011	0.012	1.004
Second Half	0.000	0.000	0.750	0.000
Events	1,124	1,095	1,040	1,030
Standard Error	0.000	0.000	0.000	0.000
Events	41	41	41	41

(Continued)

Table III—Continued

	Quintile 1 (Small)	2	3	4	Quintile 5 (Big)
Range					
Mean	-0.024	-0.017	-0.001	-0.002	-0.124
Median	-0.128	-0.049	-0.071	-0.041	-0.167
Post-Best	-0.147	-0.059	-0.102	-0.067	-0.184
<i>p</i> -value	0.000	0.000	0.000	0.012	0.000
Best	0.044	0.044	0.044	0.044	0.044
<i>p</i> -value	0.011	0.276	0.012	0.032	0.060
Size	31	31	31	31	31
Return					
Mean	0.021	0.009	0.015	-0.008	-0.056
Median	0.003	0.001	0.005	0.004	-0.019
Post-Best	0.017	0.003	0.009	0.002	-0.012
<i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Best	0.041	0.041	0.041	0.041	0.041
<i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Size	31	31	31	31	31
Dispersion					
Mean	-0.081	-0.061	-0.002	-0.007	-0.035
Median	-0.044	-0.006	-0.006	-0.017	-0.011
Post-Best	-0.138	-0.100	-0.144	-0.102	-0.109
<i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Best	0.017	0.044	0.029	0.013	0.033
<i>p</i> -value	0.000	0.000	0.000	0.000	0.000
Size	31	31	31	31	31

(Continued)

Table III—Continued

	Panel B: Mean vs. Median Turnover									
	No Switch					Switch				
	Number of Firms	Mean Turnover	Median Turnover	Median Ratio	Median t -stat	Number of Firms	Mean Turnover	Median Turnover	Median Ratio	Median t -stat
Question 1 (Panel)	405,941	0.86%	0.31%	0.015	5.84	5,606	0.20%	0.01%	0.009	3.76
2	80,374	1.19%	0.6%	0.4%	2.67	1,675	0.6%	0.3%	0.089	2.47
3	11,272	0.7%	0.3%	0.1%	2.76	276	0.3%	0.1%	0.089	2.11
4	1,882	0.34%	0.16%	0.02	2.22	220	0.13%	0.06%	0.089	2.11
Question 5 (Panel)	91,131	0.39%	0.18%	0.006	3.89	1,077	0.09%	0.03%	0.089	3.78

	Panel C: Change in the Distribution of Turnover on Switches									
	Turnover Deciles									
	50% to 60%	40% to 50%	30% to 40%	20% to 30%	10% to 20%	5% to 10%	Top 5%	Top 1%	Top 0.1%	Top 0.01%
Question 1 (Panel)	0.07%	-0.18%	-0.01%	-0.01%	-1.03%	-0.30%	-0.78%	-0.29%	-0.28%	-0.28%
2	-0.03%	0.02%	-0.00%	-0.00%	-0.40%	-0.03%	-0.42%	-0.42%	-0.42%	-0.42%
3	-0.01%	0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%
4	-1.42%	0.01%	0.01%	0.01%	-0.07%	-1.16%	0.08%	0.08%	0.08%	0.08%
Question 5 (Panel)	0.01%	-0.01%	0.00%	0.00%	-0.40%	-0.40%	-0.40%	-0.40%	-0.40%	-0.40%

(Continued)

- Turnover falls by about **15%–18%** in the bottom three size quintiles.
- The effect becomes small and insignificant in the largest two quintiles.
- The **price range** falls in several quintiles, including the top quintile.
- **Dispersion** falls most clearly for small stocks.
- The turnover distribution becomes **compressed** for small stocks: extreme-turnover realizations disappear more than middle-turnover realizations.

Read: This table is central for the mechanism. Newspapers appear to matter most where retail investors matter most.

5.4 Table 4: Impact on return autocorrelations

- In the contemporaneous regression, the coefficient on $R_{t-1}^S \times \text{Strike}_t$ is about -0.428 , significantly negative.
- In next-day regressions, the coefficient on $R_{t-1}^S \times \text{Strike}_t$ is about 0.317 to 0.372 , significantly positive.
- The interaction with contemporaneous strike-day returns is positive but insignificant.

Read: The market incorporates yesterday's information more slowly on strike days and catches up the next day. This supports the **news-diffusion** hypothesis over the **noise** hypothesis.

Table IV
Impact of Newspaper Strikes on Return Autocorrelations

This table reports results of panel regression models of returns of small stocks (stocks in the bottom quintile according to their market capitalization at the end of the previous year). Regression (1) displays the impact of newspaper strikes on contemporaneous returns and regressions (2)–(4) the impact on next-day returns. In regression (1) (respectively, (2)–(4)), the dependent variable is the average return on day t (respectively, $t+1$) of small stocks. The independent variables include an indicator variable, $\text{Strike}_{t,s}$, which equals one on the first day a newspaper strike occurs in country s and zero otherwise, and interactions of this variable with lagged returns of small stocks. Country, year, month, and day-of-the-week dummy variables are included in the regressions, as well as returns interacted with day-of-the-week dummy variables when indicated. Standard errors and p -values adjusted for heteroskedasticity and clustered by date are displayed in parentheses in this order below the regression coefficient estimates. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% level, respectively.

	Return.Small(t)	Return.Small($t+1$)		
	(1)	(2)	(3)	(4)
Return.Small($t-1$) $\times$ Strike(t)	−0.428*** (0.146) (0.003)		0.317** (0.160) (0.048)	0.372** (0.178) (0.036)
Return.Small(t) $\times$ Strike(t)		0.034 (0.859) (0.194)	−0.114 (0.375) (0.209)	−0.107 (0.375) (0.209)
Strike(t)	−0.138 (0.109) (0.204)	−0.141 (0.121) (0.282)	−0.114 (0.123) (0.355)	−0.107 (0.125) (0.390)
Return.Small($t-1$) $\times$ Day-of-week	yes	yes	yes	Yes
Return.Small(t) $\times$ Day-of-week	21,769	21,769	21,659	21,659
Observations	0.046	0.045	0.045	0.045
R^2				

Table V
Market Reaction on the Days Surrounding Newspaper Strikes

This table presents the impact of national newspaper strikes on the stock market on the days surrounding the strikes. The methodology and test statistics are described in Table II, and the variables' definitions in Table X. Panel A displays results for the day preceding the strike and Panel B for the day following the strike. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% level, respectively.

Panel A: Day Preceding Strikes					
	Turnover	Abs. Return	Range	Return	Dispersion
Day Before—All					
Mean	−0.051	−0.053	−0.043	−0.034	−0.053
Median	−0.063	−0.107	−0.025	−0.056	−0.062
Patell Stat	−0.816	−1.537	−0.722	−0.264	−1.987**
p -value	0.415	0.124	0.470	0.792	0.047
Rank Stat	−1.467	−0.878	−0.760	−0.066	−1.806
p -value	0.142	0.380	0.447	0.948	0.071
Events	33	41	32	41	38
Day Before—No Other Strike					
Mean	0.025	−0.035	−0.028	−0.021	−0.024
Median	0.069	−0.056	−0.019	0.113	−0.014
Patell Stat	0.655	−0.465	0.930	0.071	−0.235
p -value	0.512	0.642	0.352	0.944	0.814
Rank Stat	0.872	0.034	0.713	0.435	−0.092
p -value	0.383	0.973	0.476	0.664	0.926
Events	15	22	14	22	21
Day Before—Other Strike					
Mean	−0.114	−0.139	−0.055	−0.050	−0.088
Median	−0.139	−0.139	−0.031	−0.099	−0.099
Patell Stat	−1.703	−1.758	−1.783	−0.464	−2.709**
p -value	0.089	0.079	0.075	0.643	0.007
Rank Stat	−2.341	−1.279	−1.615	−0.586	−2.300**
p -value	0.019	0.201	0.106	0.558	0.017
Events	18	19	18	19	17
Panel B: Day Following Strikes					
	Turnover	Abs. Return	Range	Return	Dispersion
After—All					
Mean	−0.059	−0.058	−0.101	−0.126	−0.019
Median	−0.080	−0.097	−0.052	−0.002	−0.044
Patell Stat	−0.679	−0.558	−2.689***	−0.917	−1.331
p -value	0.497	0.577	0.007	0.359	0.183
Rank Stat	−1.410	−0.671	−2.571	−0.614	−1.609
p -value	0.158	0.502	0.010	0.539	0.108
Events	30	38	29	38	32
Day After—No Other Strike					
Mean	−0.084	−0.021	−0.087	−0.150	−0.033
Median	−0.105	−0.021	−0.052	−0.051	−0.039
Patell Stat	−0.955	0.356	−1.971**	−0.908	−1.323

(Continued)

Table V—Continued

Panel B: Day Following Strikes					
	Turnover	Abs. Return	Range	Return	Dispersion
Day After—Other Strike					
Mean	0.022	−0.138	−0.148	−0.073	0.022
Median	0.007	−0.185	−0.105	0.014	−0.108
Patell Stat	0.325	−1.517	0.048	−0.295	−0.371
p -value	0.745	0.129	0.948	0.768	0.711
Rank Stat	−0.185	−1.652	−2.172	−0.421	−1.030
p -value	0.853	0.099	0.030	0.673	0.303
Events	7	12	7	12	8

5.5 Table 5: Days surrounding newspaper strikes

- On the **day before** a strike, weak market activity is observed only when there is also **another media strike**.
- On the **day after** a strike, most variables do not move significantly, except for a weaker decline in the price range.

Read: The effect is concentrated on the strike day itself, which is what one would want from a clean event-study design.

5.6 Table 6: Robustness to country exclusion and strike definitions

- Dropping one country at a time leaves the main results intact.
- Adding back later print/distribution strikes weakens the estimates, consistent with the availability of online substitutes.
- Using **all strike days** rather than only the first day gives similar but weaker effects.

Read: The results are not driven by one country or one peculiar strike definition.

Table VI
Robustness Checks

This table presents robustness checks of the impact of national newspaper strikes on the stock market. The methodology and test statistics are described in Table I, and the variables' definitions in Table X. Variables are equally weighted. In Panel A, each country is removed, in turn, to perform the event study. In Panel B, various definitions of strike days are used. In the top panel, printer strikes occurring after 2006 are removed from the sample, while those occurring between 1998 and 2006 are retained, in spite of the availability of online editions. In the middle panel, printer strikes occurring after 1996 are retained. In the bottom panel, all strike days, not only the first day of any strike, are used for the event study. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% level, respectively.

Panel A: Excluding One Country at a Time				
	Excluding France	Excluding Greece	Excluding Italy	Excluding Norway
Turnover				
Mean	-0.155	-0.114	-0.132	-0.155
Median	-0.150	-0.101	-0.086	-0.150
Patell Stat	-2.553**	-1.808	-1.467	-2.840***
p-value	0.011	0.059	0.137	0.008
Rank Stat	-2.869***	-2.282**	-1.622	-2.884
p-value	0.004	0.023	0.105	0.004
Events	28	21	17	30
Abs. Return				
Mean	0.001	0.034	-0.008	-0.014
Median	-0.039	0.019	-0.027	-0.052
Patell Stat	-0.029	0.488	0.041	-0.243
p-value	0.977	0.625	0.967	0.808
Rank Stat	0.037	0.488	0.178	-0.274
p-value	0.970	0.626	0.859	0.784
Events	32	30	23	38
Range				
Mean	-0.093	-0.088	-0.060	-0.094
Median	-0.083	-0.061	-0.107	-0.080
Patell Stat	-1.981**	-1.207	-1.275	-2.018**
p-value	0.048	0.228	0.202	0.044
Rank Stat	-2.737**	-1.939*	-1.324	-2.551**
p-value	0.006	0.052	0.185	0.011
Events	27	19	16	28
Dispersion				
Mean	-0.084	-0.089	-0.052	-0.069
Median	-0.105	-0.112	-0.040	-0.070
Patell Stat	-2.743**	-2.862***	-1.412	-2.675***
p-value	0.006	0.004	0.158	0.007
Rank Stat	-2.504**	-2.982***	-1.223	-2.732***
p-value	0.012	0.003	0.221	0.006
Events	32	30	23	38

(Continued)

Table VI—Continued

Panel B				
	Turnover	Abs. Return	Range	Return
Dropping Printer Strikes after 2006				
Mean	-0.112	0.031	-0.064**	0.028
Median	-0.109	-0.029	-0.068	-0.010
Patell Stat	-2.852**	0.459	-2.182**	-0.513
p-value	0.004	0.646	0.031	0.608
Rank Stat	-3.253**	0.411	-2.271**	-0.399
p-value	0.001	0.601	0.023	0.600
Events	38	47	36	47
Retaining All Printer Strikes				
Mean	-0.083	0.048	-0.041	0.019
Median	-0.078	-0.041	-0.048	-0.024
Patell Stat	-2.141**	1.080	-1.251	-0.847
p-value	0.032	0.280	0.231	0.387
Rank Stat	-2.399**	0.652	-1.445	-0.496
p-value	0.016	0.514	0.149	0.620
Events	43	52	41	52
All Strike Days				
Mean	-0.091	0.008	-0.090	-0.034
Median	-0.077	-0.056	-0.075	-0.010
Patell Stat	-2.460**	0.095	-3.267***	-0.756
p-value	0.014	0.924	0.001	0.449
Rank Stat	-2.344**	1.109	-2.634***	-0.722
p-value	0.019	0.913	0.008	0.471
Events	48	67	46	67

Table VII
Falsification Test: Impact of Strikes on Neighboring Countries

This table reports the results of a falsification test to check the robustness of the impact of national newspaper strikes on the stock market. The methodology and test statistics are described in Table II, and the variables' definitions in Table X. Variables are equally weighted. Newspaper strikes in each of the four sample countries are assigned to countries with which it shares a border in Europe. Some countries are excluded because of data limitations in Compustat Global. Stock market activity is examined in Germany, Spain, Italy, Belgium, and Switzerland when French newspapers are on strike; in France, Switzerland, and Austria when Italian newspapers are on strike; and in Sweden, Denmark, and Finland when Norwegian newspapers are on strike. No country is matched to Greece because of insufficient stock market data for Albania, Macedonia, and Bulgaria in Compustat Global.

	Turnover	Abs. Return	Range	Return	Dispersion
Mean	-0.026	0.027	-0.029	-0.030	-0.001
Median	-0.045	0.002	-0.048	-0.050	-0.024
Patell Stat	-0.979	0.745	-1.582	-0.486	0.276
p-value	0.328	0.456	0.114	0.627	0.783
Rank Stat	-0.453	0.859	-1.200	-0.885	0.370
p-value	0.651	0.348	0.230	0.376	0.711
Events	58	108	64	108	108

5.7 Table 7: Falsification test on neighboring countries

- When a strike happens in one country, neighboring **nonstriking** countries do **not** show similar abnormal turnover, range, return, or dispersion.

Read: This placebo test is important because it rules out a generic regional shock explanation.

5.8 Table 8: Out-of-sample evidence from the European protest and coercion dataset

Evidence Based on the European Protest and Coercion Data

This table presents the impact of national newspaper strikes on the stock market, using the European protest and coercion data between 1989 and 1996, identified as strike days, as an event study. The methodology and test statistics are described in Table I, and the variables' definitions in Table X. Variables for the whole sample of events for equally weighted averages are displayed in Panel A. The tables show, for the turnover, absolute return, range, return, and dispersion, the mean and median difference in newspaper strike days relative to the other days in the estimation window, as well as statistics and p-values for the Patell (1978) test and the Granger (1980) rank test. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% level, respectively. Panel B lists event study statistics by event. In Europe, the turnover, absolute return, range, and return dispersion, the difference in the newspaper strike days relative to the average over the estimation window ("raw difference"), and the difference divided by the standard deviation of the variable over the estimation window ("standardized difference").

Panel A: Overall										
	Turnover		Abs. Return		Range		Return		Dispersion	
Mean	-0.101	0.012	-0.111	0.013	-0.103	0.010	-0.109	0.009	-0.105	0.009
Median	-0.094	0.002	-0.091	0.019	-0.090	0.005	-0.090	0.005	-0.090	0.005
Patell Stat	-1.473	0.260	-1.436**	0.271	-1.436	0.271	-1.436	0.271	-1.436	0.271
p-value	0.140	0.772	0.151	0.746	0.140	0.772	0.140	0.772	0.140	0.772
Rank Stat	-1.879*	-0.307	-1.897**	-0.302	-1.879	-0.302	-1.879	-0.302	-1.879	-0.302
p-value	0.060	0.799	0.056	0.793	0.060	0.793	0.060	0.793	0.060	0.793
Events	29	41	29	41	29	41	29	41	29	41
Panel B: By Event										
Country	Date	Raw Difference	Stand. Difference	Raw Difference	Stand. Difference	Raw Difference	Stand. Difference	Raw Difference	Stand. Difference	Dispersion difference
Germany	07/05/1990	n.a.	n.a.	-0.296	0.209	n.a.	n.a.	-0.200	-0.140	
Germany	09/09/1990	n.a.	n.a.	-0.520	-1.307	n.a.	n.a.	-0.103	-0.450	
Germany	06/03/1992	n.a.	n.a.	0.145	0.407	n.a.	n.a.	0.000	0.000	
Germany	14/01/1993	n.a.	n.a.	0.044	0.247	n.a.	n.a.	-0.001	-0.001	
Germany	21/03/1993	n.a.	n.a.	-0.225	-1.148	n.a.	n.a.	0.227	0.544	
Germany	21/07/1993	n.a.	n.a.	-0.225	-1.148	n.a.	n.a.	0.164	0.544	
Germany	14/01/1994	-0.110	-0.307	-0.041	-0.120	-0.020	-0.403	0.000	0.000	
Germany	24/03/1994	0.004	0.014	-0.291	-1.200	-0.107	-0.427	-0.076	-0.196	
Germany	07/06/1994	-0.044	-0.111	-0.144	-0.400	0.007	0.006	-0.135	-0.322	
Germany	20/05/1994	-0.230	-0.603	-0.106	-1.118	-0.040	-0.603	0.000	0.000	
Italy	10/11/1989	n.a.	n.a.	0.022	1.200	n.a.	n.a.	-0.104	-0.169	
Italy	07/12/1989	n.a.	n.a.	-0.060	-0.543	n.a.	n.a.	0.000	0.192	
Italy	14/12/1989	n.a.	n.a.	0.433	1.609	n.a.	n.a.	0.130	0.554	
Italy	14/12/1989	n.a.	n.a.	-0.017	-0.791	n.a.	n.a.	0.142	0.554	
Italy	23/01/1990	n.a.	n.a.	-0.031	-0.603	n.a.	n.a.	-0.061	-0.161	
Italy	20/01/1990	n.a.	n.a.	0.100	0.727	n.a.	n.a.	0.100	0.417	

(Continued)

Table VIII—Continued

Panel B: By Event									
Country	Date	Raw Difference	Stand. Difference	Raw Difference	Stand. Difference	Raw Difference	Stand. Difference	Raw Difference	Stand. Difference
Italy	09/03/1990	n.a.	n.a.	-0.078	-0.728	n.a.	n.a.	-0.119	-1.040
Italy	10/03/1990	n.a.	n.a.	0.119	1.400	n.a.	n.a.	0.111	1.400
Italy	10/03/1990	n.a.	n.a.	0.000	0.000	n.a.	n.a.	0.001	0.010
Italy	10/03/1990	n.a.	n.a.	0.000	0.000	n.a.	n.a.	0.000	0.000
Italy	07/06/1990	n.a.	n.a.	0.000	0.000	n.a.	n.a.	0.007	0.222
Italy	12/03/1992	n.a.	n.a.	-0.277	-1.004	n.a.	n.a.	0.140	0.480
Italy	20/03/1990	-0.042	-0.244	0.008	1.008	-1.113	-1.422	-0.074	-0.290
Italy	20/03/1990	0.009	0.131	0.001	1.001	n.a.	n.a.	0.001	0.001
Italy	20/03/1990	0.002	0.102	0.001	0.004	-0.044	-0.060	-0.040	-0.179
Italy	02/10/1990	-0.222	-1.004	-0.004	-1.007	0.040	1.220	-0.101	-0.321
Italy	14/03/1994	-0.096	-0.451	-0.244	-1.004	-0.174	-0.600	0.110	0.205
Italy	20/06/1994	-0.078	-0.422	-0.112	-0.504	-0.020	-0.047	-0.147	-0.707
Italy	20/06/1994	0.142	0.409	0.423	1.291	0.000	0.000	-0.000	-0.000
Italy	14/01/1994	-0.108	-0.187	-0.108	-0.379	-0.000	-0.002	-0.000	-0.000
Italy	14/01/1994	-0.187	-1.048	0.006	0.000	-0.070	-0.400	0.000	0.000
Italy	09/03/1990	-0.087	-0.209	-0.117	-0.400	-0.220	-1.279	-0.138	-0.900
Italy	09/03/1990	-0.100	-0.118	0.414	1.600	-0.000	-0.000	0.000	0.000
Italy	09/03/1990	-0.104	-0.118	0.414	1.600	-0.000	-0.000	0.000	0.000
Norway	21/05/1989	n.a.	n.a.	0.170	0.474	-0.440	-1.599	-0.037	-0.000
Norway	02/01/1990	-0.066	-1.710	-0.200	-1.800	0.000	0.000	0.182	0.417
Switzerland	04/01/1984	n.a.	n.a.	-0.110	-0.400	-0.108	-0.761	-0.180	-0.864

(Continued)

- Turnover falls by about **10.1%**.
- The price range falls by about **11.3%**.
- Returns do not move much.

Read: A separate strike dataset, with little overlap with the main sample, reproduces the main qualitative findings.

Table IX
Evidence from Local Strikes in the United States

This table shows the impact on trading activity of three local newspaper strikes occurring in the United States. The events are the November 3, 1994 San Francisco strike, the July 14, 1995 Detroit strike, and the May 18, 1992 Pittsburgh strike. The variable of interest is the *Abnormal Local Trading Volume* in a striking city, measured relative to the rest of the country as $AVol_{k,t} = \ln(Vol\$_{Strike_{k,t}}/Vol\$_{NoStrike_{k,t}})$, where $Vol\$_{Strike_{k,t}}$ denotes the dollar trading volume aggregated over all investors located within a 50-mile and 100-mile radius from the striking city, and $Vol\$_{NoStrike_{k,t}}$ denotes the dollar trading volume aggregated over all investors located outside the striking city. The event study is performed using a 100-day estimation window centered on the strike day. Statistics for the whole sample of events for equally weighted averages are displayed in Panel A. The table shows, for abnormal local volume, the mean and median difference on newspaper strike days relative to the other days in the estimation window, as well as the statistics and *p*-values for the Patell (1976) test and the Corrado (1989) rank test. ** indicates statistical significance at the 5% level. Panel B lists event study statistics by event. It displays the difference in abnormal local trading volume on the newspaper strike day relative to the average over the estimation window ("raw difference"), and this difference divided by the standard deviation of the variable over the estimation window ("standardized difference").

Panel A: Overall					
		Abnormal Local Volume			
		50 miles		100 miles	
Mean		-0.859		-0.469	
Median		-0.687		-0.566	
Patell Stat		-2.195**		-1.579	
<i>p</i> -value		0.028		0.114	
Rank Stat		-1.631		-1.483	
<i>p</i> -value		0.103		0.138	
Events		3		3	

Panel B: By Event					
		Abnormal Local Volume			
		50 Miles		100 Miles	
		Raw Difference	Standard Difference	Raw Difference	Standard Difference
City	Date				
Detroit	14/07/1995	-1.657	-2.068	-0.566	-0.857
Pittsburgh	18/05/1992	-0.687	-0.860	-0.616	-0.971
San Francisco	03/11/1994	-0.235	-0.874	-0.226	-0.906

Table X
Main Variables and Their Definition

Turnover, *Return*, *Range*, and *Dispersion* are purged from month and day-of-the-week effects by regressing them on 11 month and 5 day-of-the-week dummy variables, and taking residuals. Averages for *Turnover*, *Return*, *Absolute Return*, and *Range* are computed using both equal weights and market capitalization weights.

<i>Turnover</i>	Equals, on each day, the log of the average across all firms in a country, of the ratio of the number of shares traded in a firm to the number of shares outstanding.
<i>Return</i>	Equals, on each day, the average return on the market in a country.
<i>Absolute Return</i>	Equals, on each day, the log of one plus the absolute value of the residual from a regression of daily stock market returns on month and day-of-the-week dummy variables.
<i>Range</i>	Equals, on each day, the average across all firms in a country of the log of the ratio of a firm's intraday high to low prices.
<i>Dispersion</i>	Equals, on each day, the log of the standard deviation of excess returns in the cross section of stocks in a country, where excess returns are measured as individual stock returns minus the return on the market. When estimating this standard deviation, days with fewer than 20 stock returns are dropped.

5.9 Table 9: Local U.S. newspaper strikes

- Abnormal local trading volume falls by about **58%** within a **50-mile** radius of the striking city.
- It falls by about **37%** within a **100-mile** radius.

Read: This is strong out-of-sample evidence that newspaper blackouts affect the behavior of local retail investors directly.

5.10 Table 10: Main variable definitions

- The table formally defines **Turnover**, **Return**, **Absolute Return**, **Range**, and **Dispersion**.

Read: This table is useful because much of the interpretation depends on understanding the difference between close-to-close aggregate volatility and intraday or cross-sectional volatility.

6 Short summary

- **Method.** Event study around exogenous newspaper strikes, combined with size-based heterogeneity, return-autocorrelation tests, and out-of-sample checks.
- **Identification.** National newspaper strikes that are media-specific and unrelated to same-day stock-market shocks.
- **Application.** Stock markets in France, Greece, Italy, and Norway from 1989 to 2010, plus separate evidence from local U.S. newspaper strikes.

- **Main result.** Newspapers causally increase trading activity and help firm-specific news diffuse into stock prices, especially for small stocks and retail investors. When newspapers disappear, turnover, intraday volatility, and return dispersion fall, but aggregate market returns do not.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

- The paper establishes a **causal** role for the media in financial markets.
- Newspapers affect **trading intensity, intraday volatility, return dispersion**, and the **speed of price adjustment**.
- The strongest effects arise in those parts of the market most exposed to **retail investor attention**.

7.2 Economic intuition

- Newspapers are a **distribution technology for information**.
- When that technology is temporarily shut down, fewer investors learn and trade on firm-specific information.
- Sophisticated investors still keep aggregate prices roughly on track, which is why market-level returns barely change.
- But because fewer investors act on dispersed firm-level information, stocks move more together and intraday price extremes become less pronounced.

7.3 Takeaway

This paper's main lesson is that the media matters not mainly because it changes the **direction** of the aggregate market on a given day, but because it changes **who learns what, and when**. Newspapers help yesterday's news get into today's prices. Without them, trading falls, price discovery slows, and especially for small stocks, the market becomes less information-rich.